

SECURITIES AND EXCHANGE BOARD OF INDIA
SECONDARY MARKET DEPARTMENT
Mittal Court, A Wing, Gr. Floor,
224, Nariman Point, Mumbai 400 021

SMDRP/POLICY/CIR-55/00
December 6, 2000

To:

**The President/Executive Director/
Managing Director of all the Stock Exchanges**

Dear Sir/Madam,

Pursuant to the recommendations made by the Secondary Market Advisory Committee of SEBI at its meeting held on November 28, 2000, the stock exchanges are directed to implement the following measures :

1. Abolition of 'No Delivery Period'

Further to our circular no. SMDRP/POLICY/CIR-15/2000 dated April 4, 2000, it is advised that 'No Delivery Period' on account of book closure/record dates for corporate actions such as issue of dividend and bonus shares is being abolished in respect of the scrips which are traded in the compulsory dematerialised mode. 'No Delivery Period' on account of book closure/record date for the rights issues, the present system will continue till further directions.

2. Reduction in period between two book closures

At present, Clause 16 of listing agreement provides that the time gap between two book closures and record dates would be at least 90 days. This requirement of minimum 90 days gap is hereby reduced to 30 days and the stock exchanges are advised to amend the Clause 16 of the listing agreement accordingly.

3. Client code

Vide circular SMDRP/POLICY/CIR-33/2000 dated July 27, 2000 all stock exchanges were required to modify their software within three months from the date of the circular, in such a way that client code becomes mandatory at the broker level. Some of the stock exchanges have complied with this directive. It has now been decided that the stock exchanges which do not implement this directive by January 1, 2001, would not be permitted to conduct Modified carry forward system (MCFS) or Automated Lending and Borrowing Mechanism (ALBM) sessions.

Yours faithfully,

**P. K. BINDLISH
DIVISION CHIEF
SECONDARY MARKET, DEPOSITORY,
RESEARCH & PUBLICATIONS DEPARTMENT**

